

4-4 Accounting Cycle

The accounting process that begins with analyzing and journalizing transactions and ends with the post-closing trial balance is called the

Objective 4 - Describe the accounting cycle.

accounting cycle (The accounting process that begins with analyzing and journalizing transactions and ends with the post-closing trial balance.)

. The steps in the accounting cycle are as follows:

Step 1.

Transactions are analyzed and recorded in the journal.

Step 2.

Transactions are posted to the ledger.

Step 3.

An unadjusted trial balance is prepared.

Step 4.

Adjustment data are assembled and analyzed.

Step 5.

An optional end-of-period spreadsheet is prepared.

Step 6.

Adjusting entries are journalized and posted to the ledger.

Step 7.

An adjusted trial balance is prepared.

Step 8.

Financial statements are prepared.

Step 9.

Closing entries are journalized and posted to the ledger.

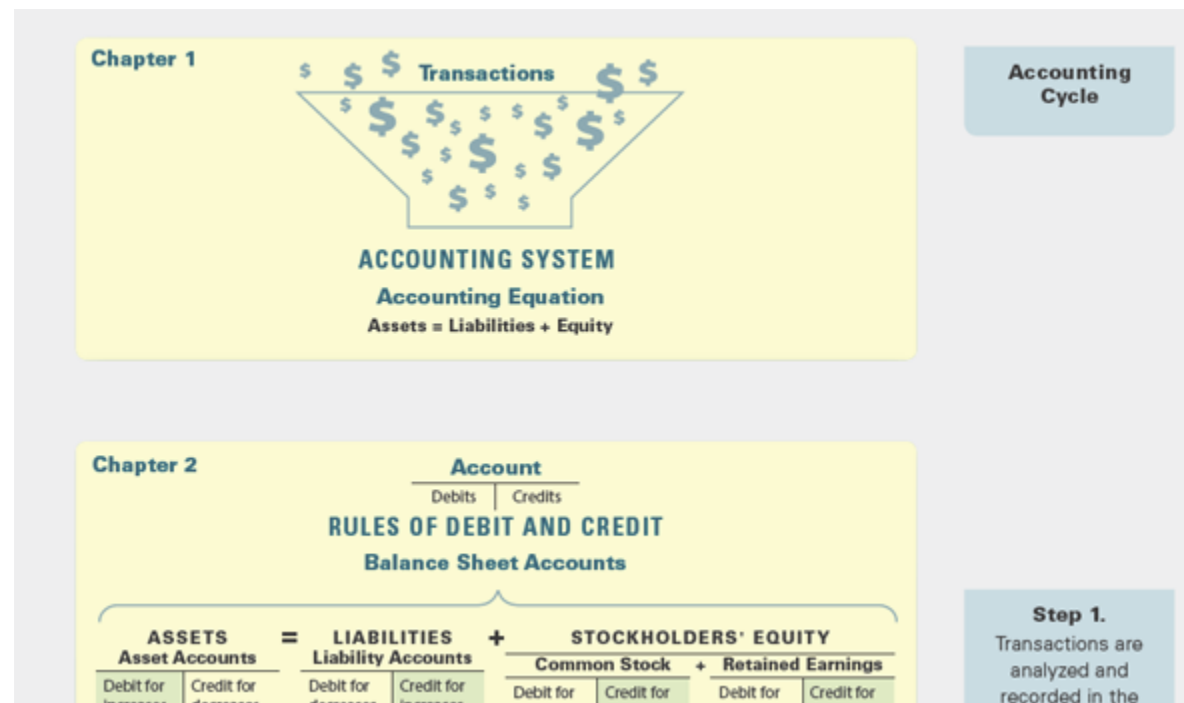
Step 10.

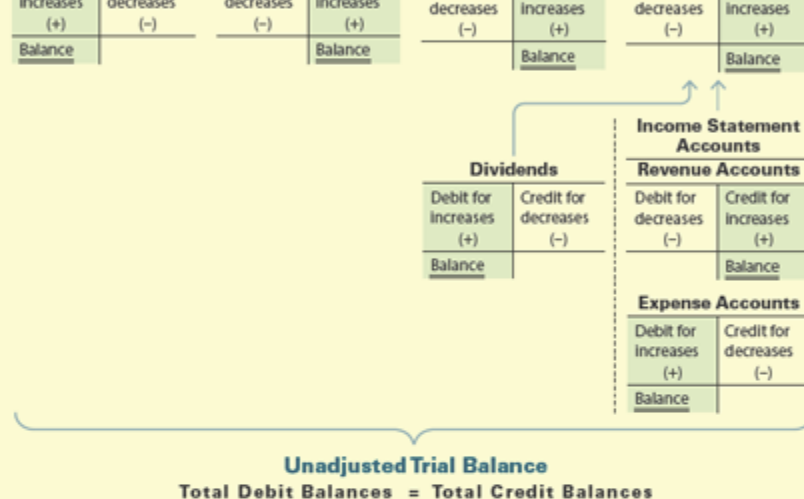
A post-closing trial balance is prepared.

Exhibit 8 illustrates the accounting cycle in graphic form. It also illustrates how the accounting cycle begins with transactions that flow through the accounting system into the financial statements.

Exhibit 8

Accounting Cycle





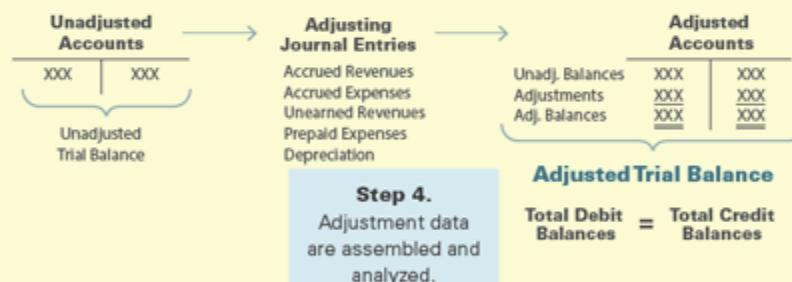
journal.

Step 2.
Transactions are posted to the ledger.

Step 3.
An unadjusted trial balance is prepared.

Chapter 3

ADJUSTING ENTRIES

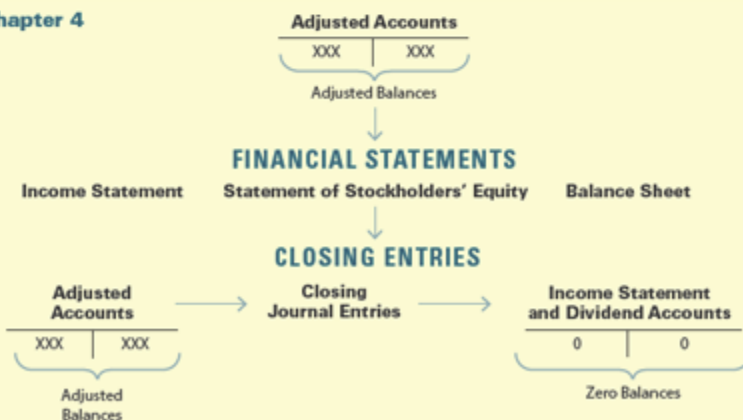


Step 6.
Adjusting entries are journalized and posted to the ledger.

Step 7.
An adjusted trial balance is prepared.

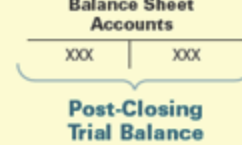
Step 5.
An optional end-of-period spreadsheet is prepared.

Chapter 4



Step 8.
Financial statements are prepared.

Step 9.
Closing entries are journalized and posted to the ledger.



Step 10.
A post-closing trial
balance is prepared.

Pathways Challenge

This Is Accounting!

Economic Activity

Financial statements report the results of operations for a period of time and the financial condition as of a specific date. However, a company usually does not report (issue) its financial statements for several weeks or months after the end of its fiscal year. This is because time is needed to adjust the accounts, prepare the financial statements, and have the financial statements examined (audited) by an independent certified public accounting (CPA) firm. During this time, significant business transactions or events may occur. For example, on February 13, 2019, the board of directors of **The Cheesecake Factory Incorporated (CAKE)** declared a dividend. The dividend was declared after its fiscal year ended on January 1, 2019, but before the financial statements were reported.

Critical Thinking/Judgment

What are the effects of a dividend payment on the accounts and accounting equation?

Should the financial statements of The Cheesecake Factory for the period ending January 1, 2019, be adjusted to reflect the effects of the dividend declared on February 13, 2019?

Should financial statements ever be adjusted for transactions or events that occur after the end of an accounting period but before the issuance of that period's financial statements?